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SUBJECT : Case Study

CASE NAME : Carlill V Carbolic Smoke Ball Co

CLASS : 2nd B.Com (Honours)

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INTRODUCTION :

About the Title :

The title of the case is Carlill v Carbolic Smoke Ball Co. It is named after the two parties in the case. Carlill is the name of the woman who filed the case. Carbolic Smoke Ball Co. is the company that made and sold the smoke ball product.

Meaning :

The title means Mrs. Carlill against the Carbolic Smoke Ball Company. It shows that Mrs. Carlill went to court because the company did not pay the \$100 reward it had promised in its advertisement.

FACTS OF THE CASE :

- The Carbolic Smoke Ball Company made a public advertisement.
- The company said that its smoke ball could prevent influenza.

- It promised to pay \$100 to anyone who used the product correctly and still got influenza.
- The company also said it had deposited \$1,000 in a bank to show that the promise was genuine.
- Mrs. Carlill saw the advertisement and believed the company's promise.
- She bought the smoke ball and used it exactly as instructed.
- Even after using the product correctly, she got influenza.
- She asked the company to pay the promised reward of \$100.
- The company refused to pay the money.
- Mrs. Carlill then filed a case against the company in court.

LEGAL ISSUE :

The main legal issue in this case was whether the advertisement made by the Carbolic Smoke Ball Company was a real legal offer or only an advertisement. The court had to decide whether Mrs. Carlill had accepted the offer by using the smoke ball as instructed. It also had to decide whether the company was legally required to pay the promised reward of £100 after she fulfilled all the conditions.

JUDGMENT :

The court gave the judgment in favour of Mrs. Carlill. It decided that the company's advertisement was a valid offer to the public. Mrs. Carlill had used the smoke ball exactly as the company instructed and still got influenza. Since she completed all the conditions, a valid contract was created. Therefore, the company had to keep its promise and pay her the \$100 reward.

LEGAL PRINCIPLE :

This case established an important principle of contract law. It explains that a public advertisement can become a valid legal offer if it contains a clear promise. When a person accepts the offer by performing the required conditions, a valid contract is formed. After that, the person or company making the promise must fulfill it. This case also explains the importance of offer, acceptance, and intention to create legal relations.

BUSINESS RELEVANCE :

This case is very important in business and under the Contract Act. It teaches that companies must make truthful promises in their advertisements. If a business makes a clear promise and a customer follows all the conditions, the business must keep its promise. The case also helps businesses understand the importance of offer, acceptance, and legal responsibility. It reminds companies to be honest in their advertisements and business dealings.

CONCLUSION :

The case of Carlill v Carbolic Smoke Ball Co. is one of the most important cases in contract law. It teaches that a company must keep the promises made to the public. The judgment protected the rights of customers and made businesses more responsible for their advertisements. Even today, this case is studied because it explains the basic principles of a valid contract in a simple and practical way.